CAPITAL PARTNER — POST-SALE ACCOUNTING

LAZY DOG CAPITAL LLC

3400 N Central Expy #110-217, Richardson, TX 75080 · 214-740-4989

{{LETTER_DATE}}

{{CP_PAYEE_NAME}}

{{CP_ADDRESS}}

Re: {{PROPERTY_ADDRESS}} — foreclosure sale completed

Hi {{CP_FIRST_NAME}},

The property sold at foreclosure on {{SALE_DATE}}. Here's the full accounting and where your money stands.

THE SALE

Sale date	{{SALE_DATE}}
Sold to	{{PURCHASER}}
Winning bid	${{WINNING_BID}}
Trustee's Deed recorded	Instrument No. {{TD_INSTRUMENT_NO}}, {{TD_RECORDING_DATE}}

{{SALE_NOTE}}

HOW THE PROCEEDS WERE APPLIED

Gross sale proceeds	${{GROSS_PROCEEDS}}
Less: trustee's commission, posting, and costs of sale	(${{SALE_COSTS}})
Less: attorney's fees	(${{ATTORNEY_FEES}})
Net available	**${{NET_AVAILABLE}}**

Paid first — you

Your capital contribution	${{CP_AMOUNT}}
Return accrued through {{SALE_DATE}}	${{ACCRUED_RETURN}}

Less returns already paid	(${{RETURNS_PAID}})
Wired to you {{WIRE_DATE}}	**${{CP_PAYOUT}}**

Paid next — Lazy Dog Capital

Lazy Dog return	${{LDC_RETURN}}
Lazy Dog capital	${{LDC_CAPITAL}}
Recovered	**${{LDC_RECOVERED}}**

{{SHORTFALL_NOTE}}

YOUR POSITION IS CLOSED

You were paid in full — capital and every dollar of accrued return — before Lazy Dog Capital recovered anything. That's how the collateral assignment was built and that's how it worked.

Attached is the **Release of Collateral Assignment**. Sign it in front of a notary and send it back, and we'll record it to close out the county records.

You'll receive a Form 1099-INT in January for the return paid this year.

{{CLOSING_NOTE}}

{{SENDER_NAME}}

Lazy Dog Capital LLC

214-740-4989

Attached: Release of Collateral Assignment · Trustee's Deed

TOKENS

{{LETTER_DATE}} · {{CP_PAYEE_NAME}} · {{CP_FIRST_NAME}} · {{CP_ADDRESS}} · {{PROPERTY_ADDRESS}} · {{SALE_DATE}} · {{PURCHASER}} · {{WINNING_BID}} · {{TD_INSTRUMENT_NO}} · {{TD_RECORDING_DATE}} · {{SALE_NOTE}} · {{GROSS_PROCEEDS}} · {{SALE_COSTS}} · {{ATTORNEY_FEES}} · {{NET_AVAILABLE}} · {{CP_AMOUNT}} · {{ACCRUED_RETURN}} · {{RETURNS_PAID}} · {{CP_PAYOUT}} · {{WIRE_DATE}} · {{LDC_RETURN}} · {{LDC_CAPITAL}} · {{LDC_RECOVERED}} · {{SHORTFALL_NOTE}} · {{CLOSING_NOTE}} · {{SENDER_NAME}}

FILL-IN GUIDE

`{{SALE_NOTE}}` — one line on who bought it:

> A third party purchased the property at the sale.
>
> No third party bid at or above our credit bid, so Lazy Dog Capital took the property back. We're finishing the rehab and taking it to market.

`{{SHORTFALL_NOTE}}` — only if Lazy Dog didn't recover in full:

> Lazy Dog Capital did not recover its full position on this loan. That's the structure working as intended — you're paid first, and we absorb the shortfall before you do.

Omit if everyone was made whole.

`{{CLOSING_NOTE}}` — how you want to leave it:

> Not the outcome anyone wanted, but you got every dollar back. I'll bring you the next one when we have something worth your money.
>
> This is why the collateral assignment matters. Thanks for backing it, and I'll be in touch on the next deal.

NOTES

- **Wire before or with this letter.** Nothing settles a partner after a foreclosure like the money already being there.
- **Send the Release of Collateral Assignment prefilled.** It comes back faster alongside the payment.
- **The borrower's interest rate appears nowhere.**
- **Be plain about a shortfall if there was one.** A partner who learns you took a loss protecting their position will do the next deal with you. One who finds out later, from somewhere else, won't.
- **If Lazy Dog took the property back**, the partner's position may continue rather than close out — see the deed-in-lieu consent for that structure. Use this letter only when the partner is actually being paid off.